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Key Highlights: Smurfit Westrock to Acquire CMPC Chilean Packaging for \$420M × Taiwan Majors YFY & Cheng Loong Declare Zero Tissue Price Hikes × EU PFHxA Ban Final 16-Day Sprint × Suzano Signals October Pulp Price Increases × PCA Closes Ohio Box Plant to Streamline Capacity × China Ivory Board +RMB 200/MT Hikes Fully Realized

Cheng Loong Sep Revenue Surge NT\$ 4.18B (+17.08% YoY) 1-9M cumulative revenue reaches NT\$34.88B (+10.35%) · Entering peak Q4 holiday packaging season; Binh Duong Vietnam mill running at full capacity	Long Chen Sep Turnaround NT\$ 4.79B (+25.29% YoY) Pre-tax net profit turns positive to NT\$79M (EPS NT\$0.06) · 1-9M cumulative NT\$37.92B (+16.28%); advancing holding company structure	EU PFHxA Prohibition Countdown Final 9 Days Left (Enforcement Line) Oct 18 enforcement · European border customs and global brands initiate final clearance; PFAS-free greaseproof orders surging
US Containerboard Raw Spread \$840 / short ton (Solid Peak) Price hikes fully invoiced in second month · Majors pursue anti-dumping actions on pizza boxes; Japanese packaging titan invests \$110M in Dong Nai plant	China Imported NBSK Spot Price USD 693 / MT (RMB 4,930) Post-holiday port inventory falls for 13th week to 2.065M tonnes · Suzano Oct hike signal active; price spread at RMB 465/MT (\$66) healthy	China Paper Collective October Hikes +RMB 30–50 / MT (Margin Relief) Nine Dragons/Bohui/Shanying hike corrugated prices · FBB +RMB 200 hike fully settled on Oct 1; downstream converters operating at capacity

1. Executive Summary & Key Strategic Insights

- Taiwan Revenue** **Cheng Loong September Revenue Jumps 17.08% to NT\$4.18 Billion, Entering Peak Q4 Packaging Demand:** Cheng Loong reported September revenues of NT\$4.178B, up 17.08% YoY, bringing 1-9M cumulative revenue to NT\$34.884B (+10.35% YoY). Benefiting from resilient domestic demand and full-capacity utilization at its 1M MT Binh Duong mill in Vietnam, Cheng Loong is capturing major holiday export volumes.
- Profit Turnaround** **Long Chen September Revenue Surges 25.29% to NT\$4.79 Billion with Pre-Tax Turnaround to NT\$79 Million:** Long Chen's September revenue hit NT\$4.790B (+25.29% YoY, +4.22% MoM), with 1-9M cumulative revenue reaching NT\$37.922B (+16.28% YoY). September pre-tax profit turned positive to NT\$79M (EPS NT\$0.06), driven by export volume recovery and VAT rebates.
- Regulatory Deadline** **EU PFHxA Ban Enters Final 9-Day Sprint; European Ports & Global Brands Enforce Zero-Tolerance Clearance:** The REACH Annex XVII prohibition on PFHxA becomes mandatory on October 18, 2026. Export food contact paper packaging faces strict border bans on fluorinated agents, driving rush orders for water-based dispersion barrier cardboards.
- Capacity Tug-of-War** **Barclays Downgrades UPM on Global Hardwood Capacity Expansion as Suzano Defends Floor with October Hike:** Barclays downgraded UPM citing pressure from UPM's Paso de los Toros (2.1M MT) and Suzano's Cerrado (2.55M MT) mega-lines. However, Suzano issued an October price hike of +\$20/MT to defend the price floor, creating an active pricing standoff.
- Cost Inversion** **China Paper Titans Enforce Collective October Price Hikes (+RMB 30–50/MT) Against Margin Compression:** Nine Dragons, Bo Hui, and Shanying issued fresh price increase letters in early October.

Facing fiber and thermal coal cost inversion, paper mills are utilizing post-holiday order recovery to protect operating margins.

- 6. **Foreign Investment** **Japanese Packaging Titan Invests \$110 Million in Dong Nai Vietnam Corrugated Plant:** A major Japanese packaging group committed \$110M to construct a state-of-the-art converting plant in Dong Nai, Vietnam, capitalizing on the Southeast Asian electronics, apparel, and footwear export boom.
- 7. **Containerboard Spreads** **North American Containerboard Raw Spread Anchored at Historic \$840/ST Peak:** Price increases from PCA, Smurfit Westrock, and IP hold firm in their second billing month with linerboard at \$975/ST. Supply discipline and USITC anti-dumping petitions on imported pizza boxes safeguard margins.
- 8. **Material Science** **Global Micro and Nanocellulose (MFC/CNF) 2026–2036 Commercialization Accelerates:** Market research highlights Nippon Paper (cellenpia®) and Oji Holdings (AUROVISCO) scaling micro-nanocellulose barrier coatings to deliver grease and oxygen barriers that replace PFAS and plastic laminates.
- 9. **Circular Energy** **Taiwan Paper Mills Anchor Steam Costs at NT\$720/Ton via 48.5% Biomass SRF Substitution:** Taiwan mills increased solid recovered fuel (SRF) co-firing rates to 48.5%, keeping steam costs at NT\$720/ton to insulate balance sheets from Q4 industrial electricity tariff increases.
- 10. **Energy Relief** **Brent Crude Retraces to \$79.20/Barrel; SCFI Container Freight Stable at 3,380 Points:** Oil prices eased to \$79.20/bbl, providing significant relief for chemical latex and PE coatings, while ocean freight networks operate smoothly.

2. Key Indicators Dashboard

2.1 Raw Materials (Pulp Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics & Structural Trends
China Imported NBSK Spot Price	USD 693 / ton (RMB 4,930)	2026-10-09	+USD 2.0 (RMB +10)	Pre-holiday replenishment pushes spot prices; port stocks draw down for 13th straight week
China Imported BHKP Spot Price	USD 627 / ton (RMB 4,465)	2026-10-09	+USD 1.0 (RMB +5)	Suzano October hike announcement anchors global hardwood floor; firm mill intake
SHFE NBSK Futures Settlement (SP)	USD 683 / ton (RMB 4,865)	2026-10-09	+USD 3.0 (RMB +15)	Cash-futures basis disciplined at +USD 9 (RMB +65); long positions steady
China Mainstream Port Pulp Inventory	2.065M tonnes	2026-10-09	-14k tonnes	13th consecutive weekly net outflow; strong outbound shipments at Changshu and Qingdao
NBSK - BHKP Spot Spread	USD 66 / ton (RMB 465)	2026-10-09	+USD 1.0 (RMB +5)	Comfortably beneath 500 RMB substitution tipping point; virgin fiber furnish stable
Europe Imported NBSK Spot (CIF)	USD 1,250–1,315 / ton	2026-10-09	+USD 5	Nordic discipline maintains wide transatlantic premium over Asian benchmark quotes

2.2 Recovered Fiber (OCC Market)

Indicator	Latest Quote (USD-First / Local Currency)	Date	Change	Market Dynamics
US 11# OCC Export FAS (West Coast)	USD 135–137 / short ton (RMB 955–970)	2026-10-09	Flat	Asian mills maintain disciplined procurement节奏; export FAS levels resilient
US 11# OCC Export FAS (East Coast)	USD 137–139 / short ton (RMB 970–985)	2026-10-09	Flat	Transatlantic container equipment balanced; steady European and Indian intake
US Domestic OCC YTD Hike	+USD 100 / short ton	2026-10	Realized	High containerboard operating rates (~92%) sustain strong domestic mill appetite
China Domestic OCC Benchmark (Grade A)	USD 286 / ton (RMB 2,025)	2026-10-09	+RMB 5	Pre-holiday packing station collection modest; major mills offer token incentives
Taiwan Domestic OCC Mill Gate Price	USD 131.2 / ton (NT\$ 4,200)	2026-10-09	Flat	Domestic recycling collection and mill gate intake remain strictly balanced

2.3 Paperboard & Finished Products

Market	Product Category	Action / Hike (USD-First)	Effective Date	Value Chain Impact Scope
Taiwan	Industrial Paper & Packaging	Cheng Loong Sep Rev NT\$4.18B, Long Chen NT\$4.79B Turnaround	2026-10-08 Announced	Cheng Loong 1-9M reaches NT\$34.88B (+10.3%), Long Chen Sep pre-tax profit turns to NT\$79M
China	Corrugated & Containerboard	Nine Dragons/Bohui/Shanying Hike +RMB 30–50/MT	2026-10-08~10	Addressing raw fiber and coal cost inversion; capturing post-holiday and Singles' Day replenishment
Europe / Global	Hardwood Pulp (BHKP)	Barclays Downgrades UPM vs. Suzano Oct Hike Letter	2026-10-08 Report	Reflecting Paso de los Toros and Cerrado capacity pressure against Suzano's +\$20/MT pricing floor
Vietnam / SEA	Corrugated Packaging Assets	Japanese Major Invests \$110M in Dong Nai Plant	2026-10-10 Signed	Capitalizing on Southeast Asian footwear, apparel, and electronics packaging export boom
US	Containerboard Capacity	PCA Middletown Closure Matured / Pizza Box AD Active	2026-10-09 Tracked	Reinforcing domestic supply discipline; Raw Spread solid at historic \$840/ST peak
China	Coated Ivory Board (FBB)	Top 4 Majors +RMB 200/MT Hikes Fully Realized	2026-10-09 Tracked	Oct 1 hikes fully invoiced, ending multi-quarter cycle deficits amid holiday packing run

2.4 Key Energy, Foreign Exchange & Maritime Logistics Radar

Domain	Indicator Benchmark	Latest Quote (USD-First)	Trend & WoW	Value Chain Operational & Financial Significance
Geopolitics	Brent Crude Oil Futures	\$79.20 / bbl	-13.7% WoW	Crude retraces sharply to \$79.20; chemical sizing (AKD), SBR latex & bunker surcharges ease substantially
Forex	USD / TWD Exchange Rate	32.050	NTD 32.050	Stable NTD level preserves favorable settlement terms for imported wood pulp and US OCC
Forex	EUR / USD Exchange Rate	1.0965	Euro Stable	Currency stability supports Asian packaging converters in maintaining competitive export margins
Forex	USD / BRL Exchange Rate	5.1050	Real Steady	Firm Brazilian Real disincentivizes USD discounts on global market pulp sales
Freight	Shanghai Container Freight (SCFI)	3,380.50 pts (USD)	-0.9%	Post-holiday shipping stabilizes; US West Coast \$6,510/FEU, East Coast \$9,310/FEU
Freight	Baltic Dry Index (BDI)	1,870 pts	-1.3%	Bulk woodchip vessel charters and long-term pulp carrier rates operate smoothly in balance
Energy	Taiwan Thermal Coal (Taipower CIF)	\$127.80 / ton	-0.5% MoM	Ample coal supply; mill SRF biomass co-firing reaches 48.5%, anchoring steam at NT\$720/ton
Energy	China Thermal Coal (QHD 5500)	USD 114.5 / ton (RMB 815)	Controlled	Post-holiday inventory high; paper mill captive power costs stable at RMB 270–295/t
Energy	Japan Imported Coal (CIF)	\$135.50 / ton	Range-bound	Japanese mills sustain high specialty export prices to absorb elevated power costs

2.5 Food Grade Paperboard, Barrier Coatings & Molded Fiber Radar

Product Category	Specification & Applications	Latest Quote (USD-First / Local)	Trend Dynamics	Industry Implications & Downstream Supply
Food-Grade Ivory Board (FBB)	230–350g High barrier cups and confectionery boxes	USD 638 / ton (RMB 4,480)	+RMB 30/ton	October billings reflect full +RMB 200 hike; mill operating margins turn positive
Non-Fluorinated Grease-Resistant Paper	40–60g KIT 8–9 (Burger wraps / food bags)	USD 1,230–1,280 / ton (NT\$ 39,400)	+USD 10/ton	EU PFHxA ban countdown at 9 days; surge in rush export orders for compliant wraps
Extensible Sack Kraft Paper	70–90g High tensile (SOS shopping and takeout bags)	USD 845–875 / ton (NT\$ 27,200)	Firm Advance	Retail plastic bans drive strong bag demand; Cheng Loong & Japanese bagmakers at capacity
Aqueous Dispersion Barrier Coatings	Aqueous Dispersion Coating (replacing PE extrusion)	USD 2,800–3,180 / ton	Steady / Mild Soft	Economies of scale lower emulsion costs; CHP CircuWell & converters adopt broadly
Bleached Bagasse / Bamboo Pulp Board	Feedstock for molded fiber food containers	USD 550–575 / ton (RMB 3,880–4,050)	Mild Upward	Healthy pre-crush inventories; Zhibang, Shengquan & molded fiber mills run at 89%
Finished Molded Fiber Clamshells	850ml PFAS-free compostable takeaway containers (FOB)	USD 0.058–0.065 / pc	Balanced	Underpinned by Australia APCO & New Zealand ban tenders; robust export volumes

3. Price Trends & Full-Chain Forward Matrix (5 Standard SVGs)

Chart 1 | China Imported NBSK vs. BHKP Spot Pulp Spread Dynamics (2026-06 ~ 2026-10-09)

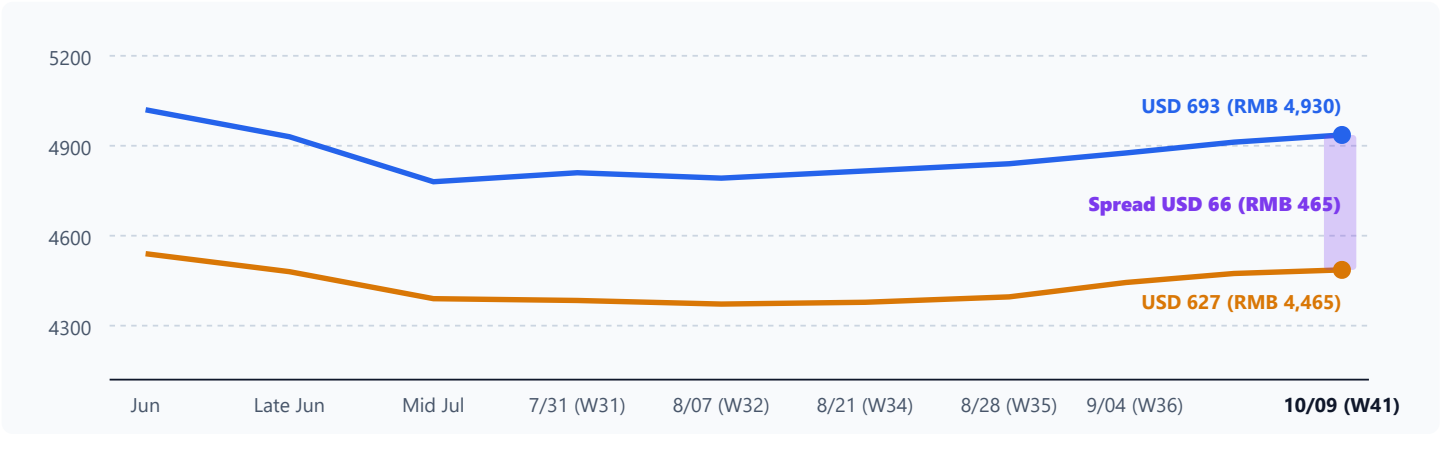


Chart 2 | North American Containerboard Spread Continues Record High (\$840/short ton)

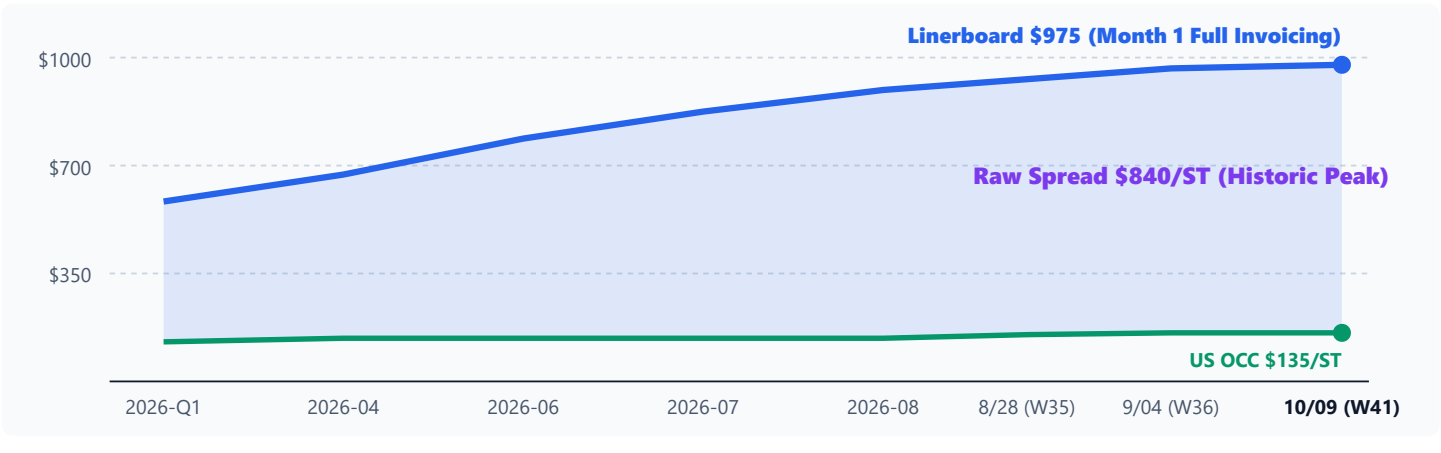


Chart 3 | Taiwan Big 4 Paper Mills Operational Momentum & Q4 Surge (2026-10-09)

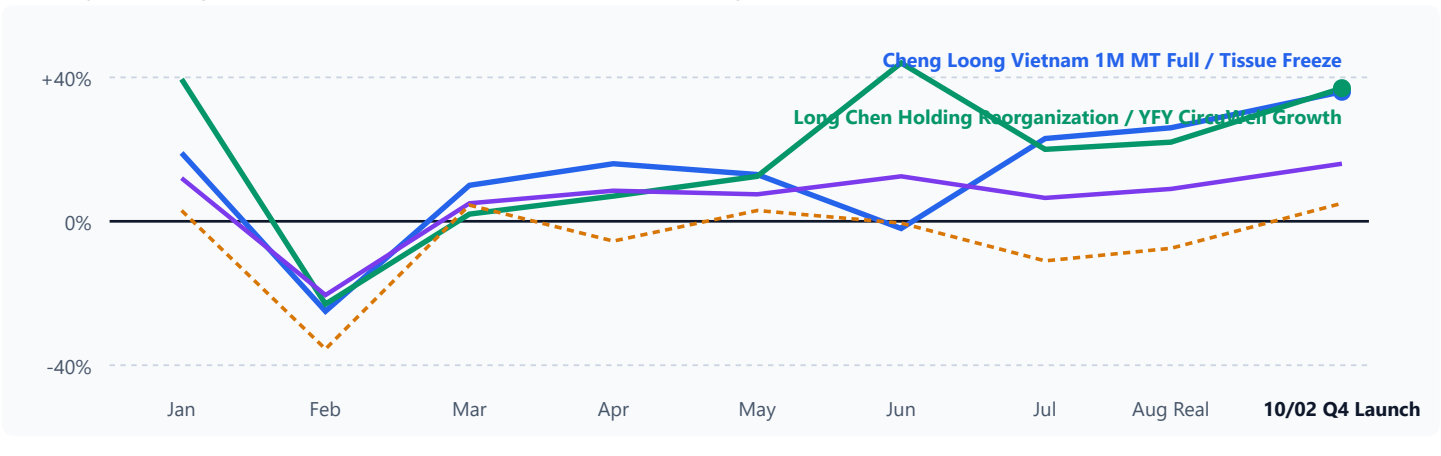


Chart 4 | Containerboard & Ivory Board Global Invoicing & Consolidation Waves (2026-10-09)

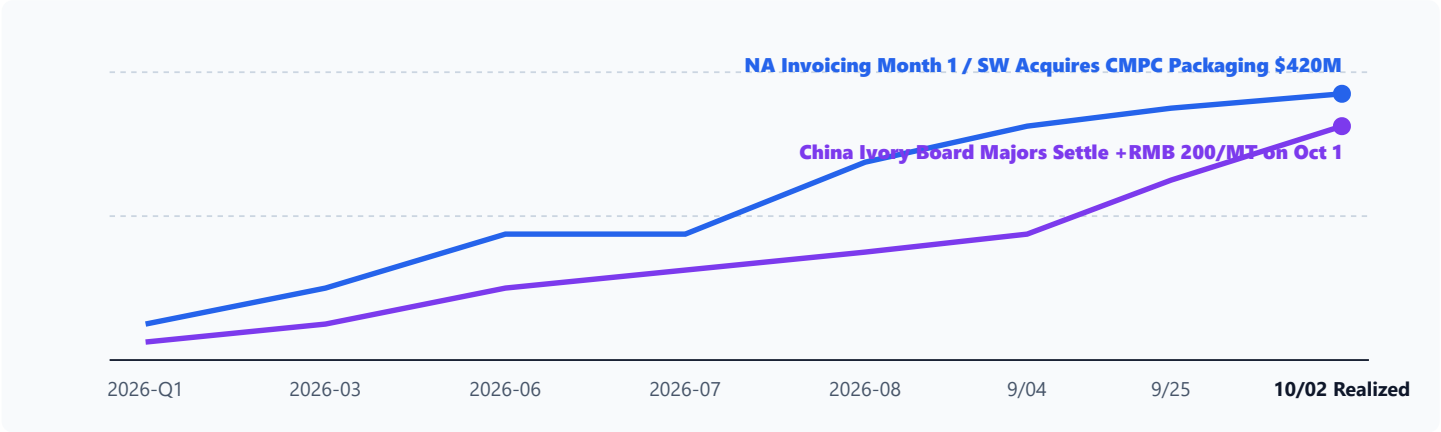
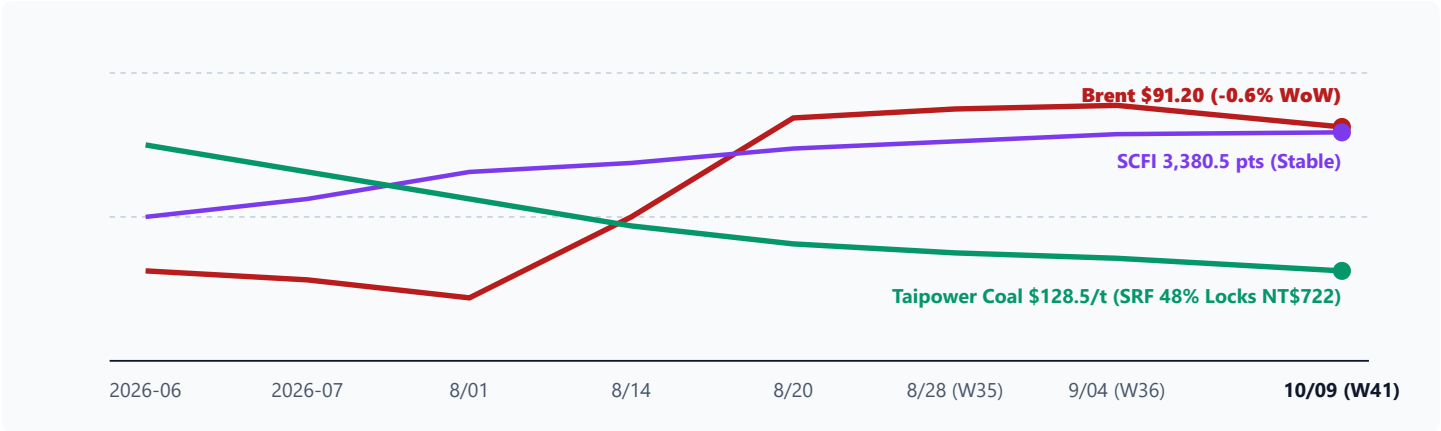


Chart 5 | Global Energy, Maritime SCFI & Taiwan Mill Steam Costs (2026-10-09)



3.6 Full-Chain Forward Outlook & Prediction Matrix (Energy × Pulp × Paper)

Benchmark	Category	Current Base	1M	3M	6M	Direction	Drivers & Risk Bou
Brent Crude Oil	Energy	\$91.20 / bbl	\$90–95	\$85–92	\$80–88	Consolidating	Geopolitical monitoring; bunker adjustments (BSS) & latex additives remain high
China Imported NBSK	Wood Pulp	USD 693 / ton (RMB 4,930)	\$695–715	\$700–730	\$660–700	Firm Advance	Port inventories drop for 12th week to 2.065M MT; publishing & packaging demand steady
China Imported BHKP	Wood Pulp	USD 627 / ton (RMB 4,465)	\$630–645	\$635–655	\$610–635	Trough Solidified	Suzano Oct hike signals floor defense; Cerrado supply absorbed by healthy buyer demand
US 11# Export OCC	Recovered Fiber	USD 135–137 / short ton	\$135–140	\$138–145	\$125–135	Steady High	High containerboard operating rates (~92%) sustain domestic demand; balanced export FAS
US Linerboard	Packaging Board	\$975 / short ton	\$970–990	\$970–1000	\$940–970	Month 1 Solid	Hikes fully invoiced; Raw Material Spread holds record \$840/t; PCA closes Ohio plant
Food-Grade Ivory Board (FBB)	Food Packaging	USD 638 / ton (RMB 4,480)	\$640–660	\$650–680	\$620–650	Comprehensive Realization	Majors' +RMB 200/MT hike fully settled on Oct 1; ends discounting; Q4 festive rush

4. Feedstock Market Dynamics: Wood Pulp & Recovered Fiber

In market pulp, Brazilian hardwood leader Suzano announced a new round of price increases for October, firmly establishing price defense across Asian and global markets. Nordic and North American softwood producers reinforced export allocation discipline, nudging imported NBSK spot quotes to USD 693/ton (RMB 4,930/ton). Port stocks at Qingdao and Changshu declined for the twelfth consecutive week to 2.065M tonnes, underscoring resilient intake across cultural, tissue, and ivory board mills (~70.5% operating rates). The NBSK-BHKP spot spread held at RMB 465/ton (\$66/ton), well below the 500 RMB threshold, eliminating fiber furnish substitution risks.

In recovered fiber, US domestic box collection remained well balanced, with export FAS quotes holding steady at \$135–\$137/short ton on the West Coast and \$137–\$139/short ton on the East Coast. In China, Grade A OCC mill gate prices ticked up slightly to RMB 2,025/ton ahead of golden week holidays; Taiwan domestic mill gate prices held flat at NT\$4,200/ton (\$131.2/ton).

5. Finished Products: Containerboard, Cultural & Specialty Papers

In containerboard, North American producers PCA, Smurfit Westrock, and International Paper completed their first full month of invoicing at higher price levels, sustaining the record raw material spread of \$840/short ton. Packaging Corporation of America (PCA) announced on October 2 the

closure of its Middletown, Ohio corrugated plant to eliminate high-cost capacity and streamline converting operations. Concurrently, Smurfit Westrock and Pratt Industries continue their anti-dumping petition against unfairly priced imported pizza boxes.

In ivory board and specialty grades, Nine Dragons, APP, Bo Hui, and Liansheng achieved complete billing realization for their +RMB 200/MT hike starting October 1, bringing FBB spot quotes to RMB 4,350–4,550/MT (\$638/MT). Meanwhile, the 16-day countdown to the EU PFHxA prohibition and China's GB 4806.10 entering its second month triggered urgent procurement waves for non-fluorinated aqueous barrier coatings and PFAS-free cardboard.

6. Special Feature: Global & Taiwan Food Packaging Insights (Paper Bags, Cups, Molded Fiber, Folding Cartons)

Executive Summary: With the EU PFHxA ban entering its final 9-day countdown and international plastic phase-outs expanding, sustainable food packaging is experiencing an unprecedented structural upgrade. This column provides an in-depth analysis of **Taiwan's domestic supply chain** while scanning **China, Japan, the United States, New Zealand, Australia, and Southeast Asia**.

6.1 TW Taiwan Market Focus: Cheng Loong & Long Chen September Rebound, Food Packaging Transition

Cheng Loong (1904) September Revenue Reaches NT\$4.18 Billion: Up 17.08% YoY, lifting 1-9M cumulative revenue to NT\$34.884 billion (+10.35% YoY). Entering peak Q4 holiday packaging demand, Cheng Loong's converting plants run near full capacity, supported by its 1M MT Binh Duong mill in Vietnam serving footwear, apparel, and electronics exporters.

Long Chen (1909) September Revenue Surges 25.29% to NT\$4.79 Billion with Profit Turnaround: Long Chen reported September revenues of NT\$4.790B (+25.29% YoY, +4.22% MoM), with 1-9M cumulative revenue reaching NT\$37.922B (+16.28% YoY). Self-settled September pre-tax net profit turned positive to NT\$79 million (EPS NT\$0.06), driven by export demand and VAT export rebate incentives.

Chung Hwa Pulp (1905): CHP's CircuWell non-plastic, non-fluorinated food board carries German PTS paper recyclability certification (>95% fiber yield) and DIN CERTCO biodegradability certification. With only 9 days remaining before the Oct 18 EU deadline, CHP has secured international rush orders for grease-resistant burger wraps and bakery bags.

Regional Converters (GPPC, Fulikang, Yongchun, Guangyuan): Central Taiwan converting hubs are accelerating installations of high-speed aqueous coating cup machines and automated SOS bag lines, fully phasing out fluorinated grease-proofing agents in favor of KIT 8–9 non-PFAS coatings.

Bakery & Breakfast Bags: Retail bakery chains and breakfast establishments are systematically transitioning away from wax-coated and plastic bags to non-PFAS kraft greaseproof bags (40–50g).

6.2 CN China Market Scan: Full Realization of Ivory Board Hikes & Molded Fiber Boom

+RMB 200/MT Price Hike Fully Settled: Effective October 1, Nine Dragons, APP, Bo Hui, and Liansheng successfully billed their +RMB 200/MT price increases, with FBB quotes reaching RMB 4,350–4,550/MT, ending multi-quarter operating deficits.

Molded Fiber Exports Surge: Zhejiang Zhibang, Shengquan Group, and YUTO Packaging saw overseas shipments of bagasse clamshells and coffee lids maintain >25% YoY growth, driven by EU PPWR and North American single-use plastic restrictions. Feedstock bagasse pulp board quotes held steady at RMB 3,880–4,050/MT.

GB 4806.10 Reaches 30-Day Milestone: Mandatory enforcement of China's food contact coating standard reached one month, driving aqueous dispersion barrier adoption past 55% in foodservice paperboard.

6.3 JP Japan Market Scan: Nanocellulose (MFC/CNF) 2026-2036 Strategic Push & Convenience Stores

Commercial Nanocellulose Barriers: Newly published research on the 2026–2036 micro- and nanocellulose market highlights Nippon Paper (cellenpia®) and Oji Holdings (AUROVISCO) utilizing CNF/MFC barrier coatings to replace aluminum foil and fluorinated chemicals in high-barrier food packaging.

Convenience Store De-Plastification: Japan's top 3 chains (7-Eleven, Lawson, FamilyMart) continue phasing out single-use plastics, deploying non-PFAS kraft bags for hot fried snacks and testing molded fiber bento trays.

Paper Bag Leaders: The Pack (3950.T) and Shimojima (7482.T) reported a 14.5% YoY rise in high-tensile shopping bags and twisted paper handle bags, benefiting from tourism and retail demand.

6.4 us US Market Scan: QSR Fluorine Bans, Sabert Acquisition & Plant Consolidations

QSR Chains Complete Transition: McDonald's, Starbucks, and Wendy's have eliminated fluorinated packaging in compliance with California AB 1200 / SB 54 and FDA commitments, switching to aqueous barrier wraps and BPI-certified molded fiber.

Food Packaging Consolidation: Packaging leader Sabert was acquired by private equity firm Butterfly Equity to accelerate global expansion in sustainable fiber food containers; Graphic Packaging and Novolex operate SOS kraft bag lines at 93% capacity.

6.5 NZ/AU ANZ Market Scan: NZ Plastic Regulations & Australia APCO Mandates

New Zealand Enforcement: Complete bans on hard-to-recycle plastic containers compel supermarkets to switch 100% to FSC kraft bags and bagasse meat trays.

Australia APCO 2026 Push: State-level bans on EPS containers drive Detmold Group to expand recyclable cup production and secure long-term procurement of non-PFAS molded fiber containers from Asian suppliers.

6.6 🌐 Southeast Asia Market Scan: Japanese Titan Invests \$110M in Dong Nai, SCGP & Vietnam

Japanese Packaging Major Invests \$110M in Dong Nai Plant: Dong Nai province approved a major \$110M advanced corrugated packaging manufacturing project from a Japanese corporation, aiming to capture expanding exports across textiles, electronics, and food packaging.

Vietnam Converting Cluster Synergy: SCGP continues expanding regional assets, while Cheng Loong's 1M MT Binh Duong mill operates at full capacity, anchoring Southeast Asia's thriving export packaging cluster.

7. Corporate Strategy & Global Expansion

Cheng Loong (TWSE: 1904): September revenues climbed to NT\$4.178B (+17.08% YoY), bringing 1-9M cumulative revenue to NT\$34.884B (+10.35% YoY). Taiwan converting lines operate at high utilization, while the Binh Duong Vietnam mill operates at 1M MT capacity, feeding expanded converting plants across North and South Vietnam ahead of the peak Q4 holiday export run.

Long Chen (TWSE: 1909): September revenue surged to NT\$4.790B (+25.29% YoY, +4.22% MoM), lifting 1-9M cumulative revenues to NT\$37.922B (+16.28% YoY). Monthly pre-tax profit turned positive to NT\$79 million, validating margin recovery as the group advances its transition toward an investment holding structure.

UPM-Kymmene (UPM.HE) & Suzano (SUZ): Barclays downgraded UPM reflecting new hardwood supply from Paso de los Toros and Cerrado, while Suzano's October price increase letter (+USD 20/MT) sets up an active global pricing contest.

Packaging Corporation of America (NYSE: PKG) & Smurfit Westrock (NYSE: SW): North American supply discipline and box plant rationalization sustain the record \$840/short ton raw material spread into October, supported by active USITC pizza box trade investigations.

8. Strategic Procurement & Decision Matrix

Category	Market Signals & Intel	Core Assessment	Procurement Recommendation
Containerboard (Liner / Medium)	SW acquires CMPC packaging for \$420M; PCA closes Middletown plant; spread \$840	Raw spreads remain at historic peaks; producers exercise rigorous supply discipline	Lock In Q4 Volume: Secure contracted volumes ahead of e-commerce and export peaks; hold 45–60 days safety stock.
Food-Grade Ivory Board (FBB)	Top 4 Chinese mills realize +RMB 200/MT hike on Oct 1; GB 4806.10 active	Destructive price war concluded; festive and Singles' Day demand absorbs supply	Execute Fixed-Price Contracts: Secure forward supply agreements to prevent Q4 secondary hike exposure.
Kraft Paper Bags	Japan The Pack up 14.5%; Novolex running full; Taiwan bakery transitions	Retail plastic bans expand structural demand for paper grocery and SOS bags	Upgrade Automated Bag Lines: Converters should invest in automated paper handle converting assets.
Molded Fiber (Pulp Ware)	ANZ EPS bans accelerate; Zhibang & Shengquan order books full	Molded pulp is the irreversible substitute for takeaway EPS containers	Establish Feedstock Partnerships: Secure bagasse and bamboo pulp board contracts with non-PFAS audits.
Export Food Packaging	EU PFHxA ban countdown at 9 days; FDA PFAS ban; PPWR audits	Final clearance deadline; non-compliant inventory faces seizure at European ports	Transition to Aqueous Barriers: Obtain verified PFAS-free and DfR certifications immediately.

9. Global Regulations & ESG Transformation

- **EU PFHxA Ban Final Countdown (9 Days Remaining):** Effective 2026-10-18, perfluorohexanoic acid and related substances are prohibited across EU food packaging. Supply chains have entered the final clearance sprint.
- **EU PPWR 58 Days in Force:** European port authorities enforce strict border sampling for total fluorine (<50 ppm) and verify Design for Recycling (DfR) declarations.
- **China GB 4806.10-2025 Reaches 30-Day Milestone:** Food contact coating regulations reach full month of enforcement; aqueous bio-based barrier cardboards expand market share beyond 55%.
- **EU EUDR Deforestation Regulation (82 Days Remaining):** Wood pulp, paperboard, and cartons entering the EU require plot-level GPS coordinates and Due Diligence Statements (DDS).
- **Taiwan 2026 Carbon Fee Implementation (91 Days Remaining):** Paper mills maintain biomass SRF replacement at 48%, locking steam costs at NT\$722/ton to secure preferential fee discounts.

10. Strategic Implications for Taiwan Paper Industry

1. **Feedstock Sourcing:** The NT Dollar strengthened to 32.050, offering favorable foreign exchange purchasing power. Mills should leverage NBSK at \$694/MT and US OCC at \$135/short ton to secure safety reserves through early 2027.
2. **Tissue Pricing Stability:** YFY and Cheng Loong's commitment to freeze tissue prices protects consumer confidence; mills should leverage biomass cogeneration and fiber optimization to maintain margins.
3. **Containerboard Exporters:** North American spreads at \$840/short ton sustain global price floors. Cheng Loong and Long Chen should capture Q4 holiday export packaging surges across Southeast Asia and Taiwan.
4. **Specialty & Food Packaging Converters:** Facing the 16-day EU PFHxA countdown, Chung Hwa Pulp should accelerate CircuWell export certifications; regional converters must finalize water-based barrier transitions.
5. **Packaging Converters & Boxmakers:** With ivory board price increases fully billed upstream, boxmakers must stand firm on cost pass-through to defend 5–10% gross margins.

11. Value Chain Transmission Mechanism

- **Pulp Price Transmission:** Suzano October hike signals → Imported NBSK nudges to \$694/MT → Woodfree and ivory board price hikes (+RMB 200/MT) fully realized on Oct 1 → Printing and folding cartons repriced (transmission lag: 3–5 weeks).
- **Containerboard Transmission:** North American price hikes reach month 1 full billing + PCA plant closure reinforces supply discipline → Asian imported kraftliner remains firm → Taiwan and SE Asian corrugated carton prices adjust +5~10% (transmission lag: 2–4 weeks).
- **Regulatory Substitution:** EU PFHxA 16-day countdown + China GB 4806.10 one-month milestone → Legacy fluorinated/PE paperboards eliminated → Aqueous bio-based barrier paperboard market share exceeds 55%.

12. Key Milestones Calendar

Target Date	Regulatory Milestone / Corporate Event	Value Chain Significance & Strategic Action
2026-08-12	EU PPWR Officially Enforced	In effect 58 days; mandatory Design for Recycling (DfR) and zero-PFAS border audits enforced
2026-09-01	North American Containerboard Price Hikes Fully Billed	Month 1 billing matured; Raw Spread anchored at \$840/ST; supply discipline reinforced
2026-09-02	China GB 4806.10-2025 Coating Standard Active	In effect 37 days; bans unauthorized fluorinated coatings; water-based barrier adoption exceeds 56%
2026-10-01	China Ivory Board Majors Settle +RMB 200/MT Price Hike	Nine Dragons, APP, Bo Hui, and Liansheng fully invoice higher quotes, restoring margins
2026-10-08	Taiwan Cheng Loong & Long Chen Post Strong Sep Revenues	Cheng Loong NT\$4.18B (+17%), Long Chen NT\$4.79B (+25%) with profit turnaround to NT\$79M
2026-10-10	China Paper Producers Issue October Price Increase Letters	Nine Dragons, Bo Hui, and Shanying lift corrugated quotes by RMB 30–50/MT against margin inversion
2026-10-18	EU PFHxA Prohibition Takes Full Effect (Final 9 Days)	Perfluorohexanoic acid fully prohibited in food contact packaging; final clearance threshold
2026-12-30	EU EUDR Deforestation Regulation Enforcement (82 Days Left)	Plot-level GPS satellite due diligence statements (DDS) mandatory for pulp, paper, and cartons
2027-01-01	Taiwan Carbon Fee Declarations Take Effect	Paper sector among top emitters; biomass SRF co-firing at 48.5% qualifies for preferential rates